Bogleheads

How to build a lazy portfolio

*This article contains details **specific to United States (US) investors**. It does not apply to non-US investors.*

This article discusses how you can use the investment options in employer retirement plans to create a lazy portfolio.[note 1]

The process starts by deciding on your stock / bond asset allocation, reviewing the available funds, then selecting the appropriate funds to create the portfolio.

The article illustrates two asset allocation plans using a 60% / 40% stock to bond allocation:

- For total market investors: A three-fund indexed portfolio;
- For multifactor ("slice and dice") investors: The seven-fund indexed Coffeehouse portfolio.

Asset allocation

Main article: Asset Allocation

The first step when starting an investment program is to choose your asset allocation, basically your allocation to stocks, bonds, and cash. Be sure to consider this in the context of your entire portfolio. When beginning participation in an employer's retirement plan, this means incorporating both the plan investments and your existing investments in your overall allocations. The allocations should reflect your return needs balanced against your tolerance for risk. For most investors this will mean hopefully gaining returns that, in the long run, outpace inflation, while reducing the magnitude of short term investment losses to a level that lets you remain invested without panic selling.

Document your chosen asset allocation in your investment policy statement, if you have not yet completed it.

Sample portfolios

Main article: lazy portfolios

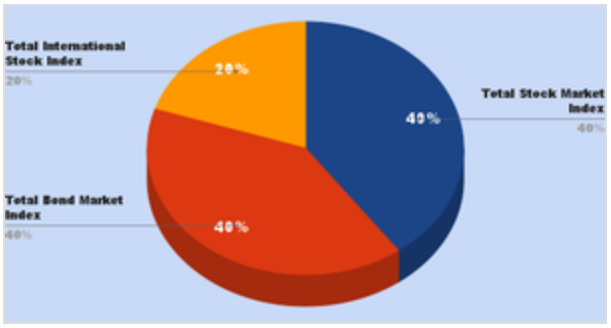
The following sample portfolios depict two different asset allocation plans. For illustrative purposes, each portfolio holds a 60 / 40 equity / bond allocation.

Three-fund portfolio (for total market investors)

The three-fund portfolio attempts to simplify the investing process by using three total market index funds holding broadly diversified stock and bond investments. The portfolio is meant to be a buy-hold-and rebalance portfolio. The three asset classes required for this portfolio are listed below:[note 2] (*Extended illustration in footnotes*).

Three-fund portfolio

Ranking by Percentage	Fund	Percentage
1	Total Stock Market Index (US Stocks)	40%
2	Total Bond Market Index (US Bonds)	40%
3	Total International Stock Index (International Stocks)	20%
Total	—	100.0%

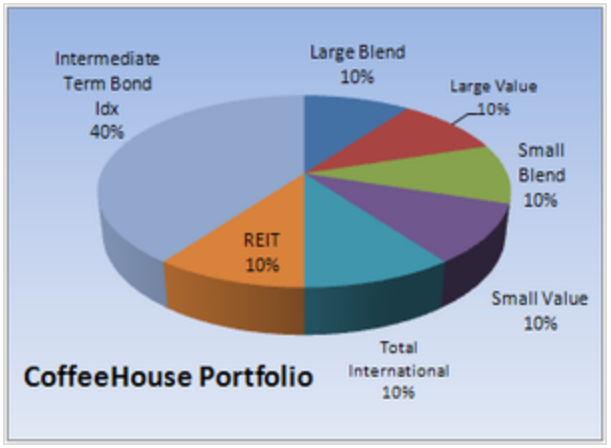


Three-fund portfolio with a 60/40 asset allocation

60% Stocks = 40% US Stocks + 20% International Stocks
40% Bonds = 40% US Bonds

Coffeehouse portfolio (for "slice and dice" investors)

The Coffeehouse Portfolio is a "slice and dice" portfolio which uses seven index funds allocated in a 60% stocks / 40% bonds allocation. The portfolio is meant to be a buy-hold-and rebalance portfolio.[note 3] (*Extended illustration in footnotes*).



Schultheis Coffeehouse portfolio with a 60/40 allocation

Coffeehouse Portfolio target allocations

Ranking by Percentage	Fund	Percentage
1	Intermediate-Term Bond Index (US Bonds)	40.0%
2	Large Cap Index (US Stocks)	10.0%
3	Large Cap Value Index (US Stocks)	10.0%
4	Small Cap Index (US Stocks)	10.0%
5	Small Cap Value Index (US Stocks)	10.0%
6	REIT Index (US Stocks)	10.0%
7	Total International Index (International Stocks)	10.0%
Total	—	100.0%

60% Stocks = 10% US Stocks (6 entries - REITs count as US Stocks)
40% Bonds = 40% US Bonds

Multiple accounts

Main articles: Asset allocation in multiple accounts and Tax-efficient fund placement

A frequently encountered situation is that the investment portfolio is allocated to a multiplicity of accounts. For example, a husband and wife may both have employer provider plans, both have personal retirement plans, both have taxable accounts. This equals six accounts.[note 4]

Even if you are a single individual, it is possible to accumulate accounts over an investing lifetime. For example an individual might accumulate a current employer provided plan, a rollover IRA holding the assets from a past job's 401(k) plan, a Roth IRA, and a taxable account.

In this situation you would need to repeat the actions over the different accounts:

1. Determine our overall asset allocation.
2. Perform the checklist on the employer retirement plan as mentioned in the next section.
3. Gather the expense ratio for each fund in each account, as well as the tax efficiency.
4. If some accounts do not offer an asset class, or close alternative, then the accounts which do have that asset class should be filled first, with lower expense ratios taking priority.
5. Fill in remainder of your total asset allocation with the lowest expense ratios from each account, taking into account the tax considerations.
6. Add up the total amount for each asset class and ensure that your asset allocation is as desired.

Selecting the funds - Employer plan checklist

For the chosen asset allocation you then need to review the available funds and select the appropriate ones.

Employer plans can have many investment options, presenting investors with a long list of unfamiliar names. The following checklist can help you find the offerings that can help fill your desired asset allocations. For our sample portfolios, we would be looking for index funds matching our targeted asset classes.

Employer plan checklist

For each item in the plan fund list, find the available asset class exposure that the funds provide and their expense ratios.[note 5] This information can usually be found in the fund's fact sheets.[note 6]

Look for the major asset class categories, such as US stock, international stock, small cap stocks, value stocks and US bonds. Fixed income (cash reserves) counts as bonds; company stock funds count as stock. Some bond funds may be listed as "inflation protected."

Since our desired portfolios are indexed, seek out the plan's index funds, such as the "SSgA S&P 500 Index" (US stocks) or "SSgA US Bond Index" (US bonds) or "SSgA Global Equity Ex US Index" (International stocks, which sometimes have an alphabet soup of acronyms like MSCI EAFE). The fund's fact sheet will list the asset allocation information.[note 7] (*Extended illustration in footnotes*).

Employer provided plans typically contain at least one or two index funds. Some plans may have a brokerage window that provides access to a wider selection of indexed investment options, but be sure to calculate the expected cost of using this service, taking into account all fees that would apply and compare it to the cost of using the fund choices in the qualified plan to help guide the decision.

The plan may not provide total market index funds. A common example is a plan offering only an S&P 500 index fund. You may want to approximate the total market by using funds that "complete" the S&P 500 index. Similarly, plans often provide international exposure with a developed market index fund, which lacks the emerging market stocks and small cap international stocks included in international total market funds. (You may not need to replicate a total market fund for every asset class if you can hold total market funds in other accounts.)

If you decide to reconstitute a total market fund using multiple funds, you can find detailed information on how to approximate total market allocations at:

- Approximating total stock market
- Approximating total international stock market

The plan may only contain actively managed funds. In this circumstance you should select the lowest cost stock funds and highest grade bond funds that approximate the targeted assets classes.[note 8] (*Extended illustration in footnotes*).

Note that if you hold multiple accounts, you need not hold each of your portfolio's asset classes *within* the employer plan, unless you prefer to mirror the allocation in each account. The allocations can be spread across accounts (as an example: holding the bond allocations in an employer plan; the US stock investments in a personal IRA, and holding international investments in a taxable account.)

Target date retirement funds

A good default option for employer provider plans is to place your contributions and employer matches into a target date retirement fund.

Some plans may provide you with target retirement plans with indexed target date funds which can provide you with a variant of the three-fund portfolio. Examples would include plans holding Vanguard target retirement funds and the Thrift Savings Plan target retirement fund series.

If you are thinking of using a target date fund be aware that many plans offer retirement date funds that invest in a large number of actively managed funds. You need to carefully check the underlying funds to see if they truly match your desired allocation.[note 9]

An advantage of tax-deferred accounts is that you can transfer among the different funds without paying taxes on the gains. In other words, you are not stuck with this decision. There is no penalty for changing your mind later. If you feel more confident about lowering your expenses by going to separate low-cost funds at a later time, you are free to do so.

Using a target date fund to approximate a lazy portfolio

Main article: Approximating Vanguard target date funds

If you are a novice investor seeking to use a three-fund or four fund portfolio, Vanguard's Target date retirement funds can provide models for your portfolio since they are nothing more than lazy portfolios, using total market index funds, designed and managed by investment professionals. Your decision is to simply align your desired asset allocations with the appropriate target retirement fund.

Refer to the main article for a comprehensive overview.

Inflation-protected securities

Bond funds identified as inflation-protected, like TIPS, are somewhat different than a conventional bond fund. Their purpose is to help diversify your portfolio further by providing some protection against inflation.[note 10]

One Boglehead approach is to add inflation-protected securities to the bond portion of your portfolio, perhaps up to 50% of the bond allocation. The choice is arbitrary - from not using any inflation-protected fund up to 50% (or more). The decision is based on a level of comfort (can you sleep well at night) rather than one based on theory.

Notes

1. This technique will work for any list of funds. However, new investors often ask for help with employer plans in the Bogleheads forum, so this article focuses on this aspect.
2. For example, Forum discussion 401k investment (http://www.bogleheads.org/forum/viewtopic.php?f=1&t=122957) offers the options displayed in the table below. The plan contains Vanguard target retirement funds and standalone fund selections, which are suitable for creating a three-

fund portfolio. (*Open table to view fund options and expense ratios.*)

401(k) investment options	
Fund	**Expense ratio**
Target date funds	
Vanguard Target Retirement Income Fund	0.16%
Vanguard Target Retirement Fund 2010	0.16%
Vanguard Target Retirement Fund 2015	0.16%
Vanguard Target Retirement Fund 2020	0.16%
Vanguard Target Retirement Fund 2025	0.17%
Vanguard Target Retirement Fund 2030	0.17%
Vanguard Target Retirement Fund 2035	0.18%
Vanguard Target Retirement Fund 2040	0.18%
Vanguard Target Retirement Fund 2045	0.18%
Vanguard Target Retirement Fund 2050	0.18%
Vanguard Target Retirement Fund 2055	0.18%
Vanguard Target Retirement Fund 2060	0.18%
Balanced fund	
Steelcase Balanced	0.36%
US stock funds	
Steelcase General	0.32%
Steelcase Long-Term Growth	0.38%
Vanguard Windsor II - Admiral	0.27%
SSgA S&P 500 Index SL-XII	0.03%
PRIMECAP Odyssey Growth	0.67%
American Beacon Small Cap Value-Inst	0.92%
Vanguard Extended Market Index-Inst	0.12%
Eagle Small Cap Growth-R6	0.69%
American Funds New Perspective-R6	0.46%
International stock funds	
SSgA Global All Cap Equity ex US Index NL-C	0.40%
Templeton Inst Foreign Equity-Primary	0.80%
Bond funds	
NT Collective Aggregate Bond Index-Tier 1	0.07%
Wells Fargo Stable Return	0.43%
Western Asset Core Plus Bond Fund-I	0.46%

In this instance, you can create a three fund portfolio by using the fund selections in the table below. Choosing a Vanguard target retirement fund would create a variant of the three-fund portfolio, as the funds' add an international bond index fund to the portfolio. Vanguard target date retirement funds are four-fund portfolios.

Fund	Expense ratio
SSgA S&P 500 Index SL-XII	0.03%
Vanguard Extended Market Index-Inst	0.12%
SSgA Global All ex US Index NL-C	0.40%
NT Collective Aggregate Bond Index-Tier 1	0.07%

3. The following plan posted in the forum discussion: First 401(k) Advice (http://www.bogleheads.org/forum/viewtopic.php?f=1&t=122977) contains options that partially fulfill the Coffehouse portfolio

allocation. (*Open table for a complete listing of fund choices and expense ratios.*)

401(k) plan options	
Funds	**Expense ratio**
Target retirement funds	
FID FREEDOM K 2000 (FFKBX)	0.39%
FID FREEDOM K INCOME (FFKAX)	0.39%
FID FREEDOM K 2005 (FFKVX)	0.46%
FID FREEDOM K 2010 (FFKCX)	0.51%
FID FREEDOM K 2015 (FKVFX)	0.52%
FID FREEDOM K 2020 (FFKDX)	0.55%
FID FREEDOM K 2025 (FKTWX)	0.60%
FID FREEDOM K 2030 (FFKEX)	0.62%
FID FREEDOM K 2035 (FKTHX)	0.66%
FID FREEDOM K 2040 (FFKFX)	0.66%
FID FREEDOM K 2045 (FFKGX)	0.68%
FID FREEDOM K 2050 (FFKHX)	0.68%
FID FREEDOM K 2055 (FDENX)	0.69%
Balanced funds	
FID FOUR IN ONE IDX (FFNOX)	0.24%
PIM ALL ASSET INST (PAAIX)	0.98%
US stock funds	
SPTN TOTAL MKT IDX ADV (FSTVX)	0.07%
SPTN 500 INDEX INST (FXSIX)	0.05%
SPTN MID CAP IDX ADV (FSCKX)	0.22%
VANG SM CAP IDX INST (VSCIX)	0.08%
SPTN EXTENDED MKT IDX ADV (FSEVX)	0.07%
DODGE & COX STOCK (DODGX)	0.52%
FID GROWTH CO K (FGCKX)	0.77%
SPTN REAL ESTATE IDX ADV (FSRVX)	0.20%
International stock funds	
AF EUROPAC GROWTH R5 (RERFX)	0.55%
NB INTL EQUITY TRUST (NIQTX)	1.57%
SPTN INTERNATIONAL INDEX ADV (FSIVX)	0.17%
SPTN GLB XUS IDX ADV (FSGDX) 0.28%	0.28%
US bond funds	
FID SEL MONEY MARKET (FSLXX)	0.30%
SPTN SHORT TERM TREASURY BOND IDX ADV (FSBAX)	0.10%

SPTN INFLATION PROTECTED Bond IDX ADV (FSIYX)	0.10%
SPTN INTERMEDIATE TREASURY Bond IDX ADV (FIBAX)	0.10%
SPTN LONGTERM TREASURY BOND IDX ADV (FLBAX)	0.10%
SPTN US BOND IDX ADV (FSITX)	0.17%

You could use the following funds:

Asset class	Fund	Expense ratio
US large cap stocks	SPTN 500 INDEX INST (FXSIX)	0.05%
US small cap stocks	VANG SM CAP IDX INST (VSCIX)	0.08%
US REITs	SPTN REAL ESTATE IDX ADV (FSRVX)	0.20%
International total market	SPTN GLB XUS IDX ADV (FSGDX)	0.28%
Total US bond market	SPTN US BOND IDX ADV (FSITX)	0.17%

You would need to hold US value and US small value stocks in additional accounts.

4. In addition to the doubling of marital investment accounts (employer provided retirement accounts, personal retirement accounts, and taxable accounts), it is possible to have even more potential accounts. These additional accounts may include:
   - Supplemental employer retirement plans , such as a 457(b) plan.
   - Inherited non-spousal IRAs, which, by law, cannot be mingled with other IRA accounts.
   - Health savings accounts.
   - Fixed or variable deferred annuities.
   - College savings plans, such as a 529 plan or a Coverdell Education Savings Account.
   - A charitable remainder trust or a charitable pooled income fund.
5. 401(k) plans can impose administrative costs on employees in addition to fund expense ratios. Many 401(k) and 403(b) plans are funded with variable annuity contracts which can impose fees in addition to the funds' expense ratios. Make sure you are aware of the total costs.
6. Hint: Put everything in a spreadsheet. It's easier to make updates and will help when calculating percentages and fund amounts later on.
7. For an example of a plan with a mixture of index funds and active funds on the plan fund menu, see the fund options in the plan revealed in Any good funds in this list (http://www.bogleheads.org/forum/viewtopic.php?f=1&t=123516), forum discussion. (*Open table to reveal fund options and*

expense ratios.)

Arkansas Diamond Deferred Compensation Plan	
Funds	**Expense ratio**
Bond funds	
BlackRock Treasury Trust Fund	0.20%
Federated Auto Government	0.59%
Nationwide Fixed	fixed account
Valic Fixed Account Plus	fixed account
Diversified Interest Guarantee	fixed account
BlackRock Low Duration	0.41%
SSgA US Bond Index	0.06%
PIMCO Total Return Fund	0.71%
Loomis Sayles Global Bond Fund	0.97%
Aberdeen Global High Income Fund	1.00%
US stock funds	
SSgA S&P 500 Index	0.03%
Dodge & Cox Stock Fund	0.52%
Fidelity Advisor New Insights	0.74%
JP Morgan Mid Cap Value	0.76%
Goldman Sachs Growth Opportunity	0.99%
Fidelity Adv Small Cap Value	1.14%
Oppenheimer Discovery	0.90%
International stock funds	
SSgA Global Equity Ex US Index	0.17%
Dodge & Cox International Stk	0.64%
Oppenheimer Developing Mkt A	1.36%
SSgA International Index Fund - Class I (MSCI EAFE Funds)	0.04%
Global sector funds	
T Rowe Price Science & Tech	0.88%

8. For example, 401k Choices Seem Expensive (http://www.bogleheads.org/forum/viewtopic.php?f=1&t=123565), forum discussion reveals a 401(k) plan offering only active funds. (*Open table to*

reveal fund options and expense ratios).

401(k) options	
Fund	**Expense ratio**
Bond funds	
American Funds Bond Fund of Amer R4 RBFEX	0.60%
BlackRock High Yield Bond Inv A BHYAX	1.01%
Target date	
JPMorgan SmartRetirement 2010 A JSWAX	1.17%
JPMorgan SmartRetirement 2015 A JSFAX	1.20%
JPMorgan SmartRetirement 2020 A JTTAX	1.24%
JPMorgan SmartRetirement 2025 A JNSAX	1.28%
JPMorgan SmartRetirement 2030 A JSMAX	1.32%
JPMorgan SmartRetirement 2035 A SRJAX	1.36%
JPMorgan SmartRetirement 2040 A SMTAX	1.39%
JPMorgan SmartRetirement 2045 A JSAAX	1.41%
JPMorgan SmartRetirement 2050 A JTSAX	1.43%
JPMorgan SmartRetirement 2055 A JFFAX	1.39%
Balanced Funds	
American Funds Capital Inc Bldr R4 RIREX	0.66%
American Funds Inc Fund of Amer R4 RIDEX	0.65%
US Large Cap Funds	
American Funds Fundamental Investors R4 RFNEX	0.66%
American Funds Growth Fund of Amer R4 RGAEX	0.69%
American Funds Invmt Co of America R4 RICEX	0.65%
American Funds Washington Mutual R4 RWMEX	0.65%
BlackRock Equity Dividend A MDDVX	0.99%
US Mid Cap Funds	
Dreyfus Structured MidCap I DPSRX	1.22%
Ivy Mid Cap Growth Y WMGYX	1.30%
RidgeWorth Mid-Cap Value Equity I SMVTX	1.07%
Small Cap Funds	
Delaware Small Cap Value A DEVLX	1.37%
ClearBridge Small Cap Growth A SASMX	1.32%
PIMCO Small Cap StocksPLUS AR Strat A PCKAX	1.19%
International Funds	
American Funds EuroPacific Gr R4 REREX	0.85%
American Funds New Perspective R4 RNPEX	0.81%

American Funds SMALLCAP World R4 RSLEX	1.08%
Virtus Emerging Markets Opportunities A HEMZX	1.57%

In this instance, you could minimize costs and build a three fund portfolio of large cap US stocks, developed market international stocks, and an investment grade intermediate bond fund:

Fund	Expense ratio
American Funds Invmt Co of America R4 RICEX	0.65%
American Funds EuroPacific Gr R4 REREX	0.85%
American Funds Bond Fund of Amer R4 RBFEX	0.60%

9. For example, Fidelity Freedom 2035 Target Date fund employs 24 actively managed funds as the underlying investments for the fund (see Analyze the Fidelity Freedom 2035 Fund (FFTHX) composition (https://fundresearch.fidelity.com/mutual-funds/composition/315792655)). American funds employ 17 active funds in its target fund (https://americanfundsretirement.retire.americanfunds.com/about/funds/details.htm?ticker=AAFTX). T. Rowe Price uses 17 active funds and one index fund in its 2035 fund (http://www3.troweprice.com/fb2/fbkweb/composition.do?ticker=TRRJX). American Century uses 13 active funds in its 2035 target fund (https://ipro.americancentury.com/ipro/product/mf/holdings/954.jsp#ARYIX)
10. Inflation-protected securities actually protect against *unexpected* inflation, which is not discussed here.

See also

- Asking portfolio questions
- Approximating Vanguard target date funds
- Lazy portfolios
- Target date retirement funds
- Three-fund portfolio
- Vanguard four fund portfolio

Retrieved from "https://www.bogleheads.org/w/index.php?title=How_to_build_a_lazy_portfolio&oldid=91146"